

ABG's Shipwreck

How ABG Shipyard's promoter Rishi Agarwal used a web of group companies and connected entities to siphon off bank funds

BY **ANAND ADHIKARI**



WITH RECORD REVENUES of ₹2,432 crore and operational profits of ₹666 crore, year 2011-12 was the best in ABG Shipyard's nearly three-decade history. It was also the year when the Gujarat-based shipbuilder handed over a dozen vessels to its Indian and global clients. But 56-year-old Rishi Kamlesh Agarwal, Chairman and Managing Director of the flagship company of the ABG Group, was not elated. Agarwal, who studied finance in Purdue University, was more worried about the headwinds the shipping industry was facing post the global financial crisis. The industry was on the verge of plunging into a down cycle. Agarwal's woes were compounding day after day with clients calling up to cancel contracts. And that spelt the beginning of the company's downfall. Reason: rapid growth fuelled by excessive debt taken in anticipation of high global demand for vessels.

Sources in the know reveal that the diversion of funds actually started in those years. This was also corroborated by the forensic advisor

Ernst & Young (EY) as well as an insolvency resolution professional in their reports when they scanned the company's books of accounts between 2012 and 2016. That start has since escalated to allegedly India's biggest banking fraud of more than ₹22,800 crore—plus some dues to others—for which Agarwal is now being investigated by the Central Bureau of Investigation (CBI).

The first suspected fund-diversion transaction occurred in 2012 when the company had invested ₹227 crore in the redeemable preference shares of its Singapore-based subsidiary—ABG Shipyard Singapore Pte (ASSPL). Later, a part of the preference shares was redeemed, but the money never came back to India. A year later, ABG Shipyard transferred ₹97 crore into the accounts of Nor Crane & Winch Private Ltd (NC-WPL), which was listed as a vendor of the company. As per available documents, there was a clear link between the two companies—two directors of the vendor were also employees

of ABG Group companies. Similarly, an ex-director of NCWPL was also a director in some of the ABG Group companies. When *BT* checked the registered office address of these two companies, they were housed in the same building, and on the same floor.

By November 2013, ABG Shipyard started defaulting on some of its loan obligations. And so, within just a year of reporting the company's best-ever performance, Agarwal was actually knocking on the doors of banks to restructure its then ₹11,500-crore debt. Agarwal heaved a sigh of relief when the banks led by ICICI Bank agreed to restructure the loans under the corporate debt restructuring (CDR) mechanism in March 2014. The banks' sacrifice (moratorium, reduction of interest etc.) based on net present value was translating into ₹985 crore. The banks put in a condition for Agarwal to bring in 30 per cent of their sacrifice, that is, ₹300 crore, as the promoter's contribution under the restructuring. Under CDR, the lead bank, ICICI Bank, was the